ADI chemicals newsletter: Basell licenses Spheripol

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Basell to license Spheripol technology to National Petrochemical Industrial Company, Saudi Arabia

National Petrochemical Industrial Company (NATPET) and Basell have signed a license agreement for a new 400 KT polypropylene plant based on Basell's Spheripol process.

NATPET, a joint stock company owned by Alujain Corporation, Xenel Industries Limited, and other private investors, will utilize the latest generation Spheripol technology at the new plant, which will be located in Yanbu Industrial City, Kingdom of Saudi Arabia. The start-up of the plant is scheduled for the first quarter of 2007, and Tecnimont SpA of Italy has been selected by NATPET as the engineering contractor.

Comments: *Basell's licensing business continues to have a successful year with a handful of licensing agreements already signed. The latest Spheripol license further strengthens Basell's position in the polyolefins industry. The new project at NATPET is to be called Teldene. The propylene for the Teldene project will be supplied by the adjacent Alfasel plant, which is being developed by Alujain. The Alfasel plant will in turn receive propane from Saudi Aramco. The plant is anticipated to produce homo, random, and impact copolymer grades to meet the needs of the local and export markets.*

Formosa selects the Novolen® process for China's polypropylene plant

Formosa Group subsidiary Formosa Polypropylene (Ningbo, China) announced that it has selected Novolen Technology's process for a 300,000-MT/year polypropylene (PP) plant in Ningbo.

The plant is scheduled to come on stream in 2006 and will be designed to allow future expansion to 450,000 MT/year, making it the largest PP complex in Asia. According to Novolen, the plant will be able to produce all PP grades, including pipe and biaxially oriented PP. Up to 40% of the plant's capacity can be high-impact copolymers.

Comments: *Developed by BASF, inherited by Targor, and sold to Novolen Technology Holdings, an 80/20 joint venture between ABB Lummus Global and Equistar Chemicals, LP, the Novolen process is based on a vertical gas-phase reactor fitted with a proprietary helical stirrer that vigorously agitates the catalyst and polymer particles. Although Novolen capacity accounts for less than 15% of the overall PP capacity, it accounts for a much larger percentage of recently awarded licensed capacity.*

In the past Novolen's popularity was limited to Asian countries only. No one other than BASF in Europe and a few plants in North America preferred Novolen because of its smaller capacities and its special focus on several grades.

The newest Novolen offers single-line capacities approaching 400 KT at very competitive capital costs. Unlike many of the other process technologies, Novolen is metallocene ready. Licensees not only have access to the complete catalyst portfolio but also the R&D facilities and transfer of all improvements.

ExxonMobil develops two new low gel grades for Exceed® mLLDPE for high-quality lamination and converter film

ExxonMobil Chemical has commercialized two low-gel grades of Exceed® LLDPE, Exceed 1018LC, and Exceed 1018LE, specifically designed for high-quality lamination and coextrusion film applications.

According to the company, the exceptionally low-gel levels of the new grades provide laminators/surface protection filmmakers with the opportunity to make a film that will process better, has improved optical properties, and offers improved sealing and tear resistance.

Minimizing gel levels helps to limit a variety of processing and converting problems such as: (1) causing optical imperfection, printing, and sealing problems due to excessive gel content in lamination film, (2) causing tearing during peeling, resulting

in scratches in surface protective film, and (3) in coextrusion, gels can cause film breaks, inhibiting down-gauging and causing weak spots that reduce mechanical strength and sealing performance.

Exceed 1018LC and 1018LE are new, special versions of the Exceed 1018CA and 1018EB grades. While providing a 'zero large gel' specification and a quantification of the low level of 'small gels,' these new special version grades have identical processing, film properties, and food regulation compliance to the current commercial grades, thereby avoiding end-user re-qualification.

Comments: *Metallocene-based films have a host of properties including clarity, optics, low levels of contamination, better heat seal, gloss, and strength that enable them to be positioned in lamination applications where they can now compete with polyester films. Minimizing gel levels helps to limit a variety of processing and converting problems such as: (1) causing optical imperfection, printing, and sealing problems due to excessive gel content in lamination film, (2) causing tearing during peeling, resulting in scratches in surface protective film, and (3) in coextrusion, gels can cause film breaks, inhibiting down-gauging and causing weak spots that reduce mechanical strength and sealing performance.*

Nova Chemicals introduces Surpass® resins for the injection molding market

Nova Chemicals introduced a new grade of Surpass high-performance polyethylene, designed for use in thin-wall injection molding applications. Surpass resins including the new IFs932 are produced using Nova's Advanced SCLAIRTECH technology utilizing proprietary single-site catalysts.

According to the company, the several benefits of the new grade include: (1) low viscosity (enabling easier mold fills, shorter cycle times, and energy savings), (2) good balance of toughness and stiffness, (3) good organoleptic properties, and others.

SURPASS resins are manufactured at NOVA Chemicals' Joffre plant in Alberta, Canada. The site features a leading-edge polyethylene facility with a current annual production capacity of 850 million pounds, expandable to one billion pounds. Additional SURPASS molding and film grades will be introduced throughout the year.

Comments: *A large portion of the AST plant was based and loaded with Ziegler-Natta-based injection molding and film grades produced in a single reactor configuration upon its initial start-up. Since that time, NOVA has been commercializing newer and more valued-added grades such as the SURPASS single-*

site line, and multi- or broad molecular weight distributed grades.

According to the company, the new roto molding grade offers several benefits including (1) low viscosity (enabling easier mold fills, shorter cycle times, and energy savings), (2) good balance of toughness and stiffness, (3) good organoleptic properties, and others. Furthermore, roto molding grades can command a premium in the marketplace. NOVA's recent initiatives have started to pay off as evidenced by its first quarter results.

Dow starts production of polyethylene wax using Insite® technology in Sarnia, Ontario

Dow Chemical Company's Product Development Plant, located in Sarnia, Ontario commenced start-up and began producing polyethylene wax using INSITE® Technology, a Dow proprietary single-site catalyst and solution process technology. This is the latest development product to be trialed at the Sarnia PDP, which previously was a development facility for Ethylene-Styrene Interpolymers (ESI). The Sarnia plant is a world-class manufacturing facility designed to fulfill the critical role of a 'proving ground' for new proprietary polyolefin products and technologies.

The polyethylene (PE) wax will be shipped via railcar to Marcus Oil and Chemical located in Houston, Texas, and will be sold for diverse and global end-uses including coatings, inks, plastics, wax blending, textiles, and adhesives.

Decisions around a future world-scale plant dedicated exclusively to the production of PE waxes will be made after an assessment of market conditions, likely sometime over the next 1-2 years.

Comments: *In 2003, Dow formed a marketing agreement with Marcus Oil & Chemical Company to supply polyethylene waxes produced by Dow. Dow discontinued the production of Ethylene Styrene Interpolymers in Sarnia in 2003 and then started the PDP plant for polyethylene wax at the same facility.*

The demand for polyethylene waxes is growing at about 3.5% per annum in North America. PE waxes are used in several applications such as paints & coatings, hot melt adhesives, printing inks, textiles, plastics & rubber processing, cosmetics, and others. PE waxes mainly compete with paraffin and microcrystalline waxes. They also compete with Fisher-Tropsch and other synthetic waxes in some applications. The major advantages of polyethylene wax over microcrystalline and Fischer-Tropsch waxes are (1) excellent rub resistance, (2) excellent scuff resistance, (3) optimum coefficient of friction, and (4) high melt temperatures. Polyethylene waxes are m insoluble in aromatic solvents than Fischer-Tropsch waxes. They have a higher

molecular weight, melting point, and hardness and exhibit much more durability and toughness.

Indelpro to construct polypropylene plant in Mexico

Mexican company Indelpro announced its plans to construct a polypropylene plant in Altamira, Mexico. The company will build a plant having 350,000 MT/year capacity and is scheduled to begin operations by the third quarter of 2006.

The recent signing of a long-term contract with PEMEX Refinación, a subsidiary of Petróleos Mexicanos will provide the raw materials.

Comments: *Indelpro is a subsidiary of Alpek S.A. de C.V., the petrochemical unit of ALFA, and Basell. Upon completion of this plant, Indelpro will have a total PP capacity of 550 KT, creating one of the largest complexes in North America. Indelpro currently supplies polypropylene resins under the trade names Valtec® and Profax®. Currently, the company has a total PP capacity of 200 KT at its plant located in Altamira, Mexico.*

The demand for polypropylene is increasing at a faster rate compared to other polyolefins. Hence the polyolefin producers are bringing polypropylene capacities on-stream.

LG International to construct PP plant in Oman

LG International announced that its consortium with LG Engineering & Construction had secured orders worth $179 million from Oman Polypropylene Company to build a polypropylene plant. The plant will have a PP capacity of 340,000 MT/year located in the industrial complex at Sohar.

Comments: *ABB Lummus had announced the withdrawal from a joint venture to build Oman's $230 million polypropylene plant due to internal reasons.*

Oman Polypropylene is a joint venture set up in 2002 where state-run Oman Oil Company (OOC) holds a 60 per cent stake and South Korea's LG Engineering holds 20 per cent ABB had a 20 per cent shareholding for the 340,000 MT/year project due to be completed in 2006. The plant will be built next to the 75,000 barrels per day Sohar refinery, which is under construction.

Sumitomo Chemical to construct petrochemicals complex in Saudi Arabia

Sumitomo Chemical announced its plans to develop petrochemicals and oil refineries in Saudi Arabia. The project, a joint venture with Saudi Aramco will consist of an ethylene plant and a polyethylene plant.

Meanwhile, a decision on the Singapore $1 billion ethylene project with Royal Dutch/ Shell Group has been delayed until the completion of a study on a $4.3 billion project in Saudi Arabia, where costs are lower.

Comments: *Ethylene prices have been constantly increasing in Japan due to increasing demand and higher natural gas prices. Due to this the company has strategically decided to invest in a petrochemicals complex in Saudi Arabia to take advantage of the lower-cost feedstock. Sumitomo is the second largest chemical producer in Japan.*

Sabic considers investing in NPC's olefins complex in Iran

Sabic is in final negotiations with National Petrochemical Co. to invest in a 50% stake in NPC'sMaroon Petrochemical subsidiary.

Maroon Petrochemical is building NPC's Olefins 7 complex at Bandar Imam, Iran which includes a 1.1 million MT/year ethylene plant. The unit is due onstream in late 2004, and the complex's polyethylene and other derivatives units are due onstream six months later.

NPC is also looking for a joint venture partner for its recently announced Olefins 13 plant, which will have the capacity for 1.1 million-1.2 million MT/year of ethylene at Bandar Assaluyeh, Iran. Several companies including Atofina and Indian Oil Corp. might be interested in establishing major plants in the region, possibly with NPC.

Comments: *NPC has undertaken several projects to utilize the availability of extensive feedstock supplies. Its several projects include: (1) Bou Ali (Third Aromatics Project), (2) Amir-Kabir (Sixth Olefins Project including LLDPE & HDPE plants), (3) Borzuyeh (Fourth Aromatics Project), (4) Tondgooyan (First PTA/PET Project), (5) Fanavaran (Methanol Project), (6) Bisotun (First LAB Project), (7) Maroon (Seventh Olefins Project), (8) Jam (Tenth Olefin Project), and others.*

Several petrochemical complexes are already under operation including Arak Petrochemical, Tabriz Petrochemical, and others. Iran owns half of the Mideast's gas reserves and its share of the world's largest gas field, South Pars, is providing raw materials for a new wave of petrochemical investments at Bandar Assaluyeh.

Goodyear Tire & Rubber files lawsuit against EPDM price fixing

Goodyear Tire & Rubber Co. has filed a lawsuit against 12 chemical companies in the United States and Europe claiming that the companies illegally fixed the price of EPDM.

Comments: *Goodyear has joined the several companies that have filed lawsuits against EPDM producers including (1) Alco Industries, (2) Crane Group, (3) Duraplas Corp., (4) Freudenberg-NOK, (5) Gitto Global Corp., (6) Isaac Industries, (7) Parker Hannifin Corp., (8) Polyvel Inc, and others.*

The major EPDM producers against which lawsuits have been filed include (1) Crompton, (2) Dupont Dow, (3) Bayer, (4) DSM, and (5) Polimeri Europa.

Westlake reports first-quarter earnings

Westlake Chemical Corporation reported first-quarter net earnings of $10.0 million and adjusted EBITDA of $47.0 million on higher sales of $400.9 million. The results compare with net earnings of $10.4 million and adjusted EBITDA of $48.0 million on net sales of $380.6 million in the first quarter of 2003. Higher selling prices contributed to improved net sales and helped offset the earnings impact of a previously announced fire at the company's Calvert City, Ky. ethylene plant in January 2004.

In the olefins segment, income from operations increased by $4.7 million to $29.8 million in the first quarter of 2004 from $25.1 million in the first quarter of 2003. This increase was primarily due to higher selling prices and higher sales volumes in ethylene and styrene, which were partially offset by higher raw material costs for ethane, propane, and benzene and lower polyethylene sales volumes.

First quarter of 2004 income from operations was $29.8 million, as compared to income from operations of $17.7 million in the fourth quarter of 2003, an increase of $12.1 million. The increase was primarily due to higher selling prices, which were partially offset by higher feedstock and energy costs.

In the vinyl segment, the company reported a first-quarter loss from operations of $3.3 million compared unfavorably to income from operations of $2.1 million in the first quarter of 2003. This decrease was primarily due to the outage at our ethylene unit at Calvert City, Ky. which lasted for three weeks and reduced production of ethylene, PVC resin, and VCM. This decrease was partially offset by higher selling prices for PVC pipe, PVC resin, and VCM, and higher sales volumes for PVC pipe.

First quarter loss from operations of $3.3 million compared unfavorably to incom from operations of $4.8 million in the fourth quarter of 2003. This decrease was

primarily due to the fire in our ethylene unit at Calvert City as well as higher feedstock and energy costs. This decrease was partially offset by higher selling prices for PVC pipe, PVC resin, and VCM, and higher sales volumes for PVC pipe.

Dow plans shutdown of a manufacturing facility in Bound Brook & Somerset, New Jersey

Dow Wire & Cable, a global business within The Dow Chemical Company, announced its plans to shut down (Union Carbide) manufacturing facility in Bound Brook, New Jersey by the end of July 2004.

The facility produces UNIGARD™ flame retardant compounds and semiconductive compounds. All of these products are typically used in the construction of electric and communications wires and cables. These products will now be transitioned to manufacturing facilities located on the Gulf Coast of the USA, including Seadrift, Texas.

The Bound Brook site came into the Dow Wire & Cable business as a result of Dow's merger transaction with Union Carbide in 2001. Following the shutdown of the manufacturing operation, the site will function as a Business Development Center and will continue to house Research & Development employees and other non-manufacturing functions already located in the Bound Brook facility.

Separately, UCAR Emulsion Systems (UES), a global business of Dow Chemical, also announced that Union Carbide Corporation will cease manufacturing operations for UES at Union Carbide's Somerset, NJ facility. In a related decision, Union Carbide has announced plans that it will shut down this site.

Productivity improvements achieved during the last two years permit this action. UES recently announced an overall plan to upgrade North American UES manufacturing facilities through a series of investments and site closures. Production at Somerset is scheduled to cease during the second quarter and it is anticipated that customers will experience no disruption in service.

The Somerset facility manufactures latex for use in paints, coatings, adhesives, and sealants and employs approximately 28 people. All employees will have the opportunity to seek other positions within Dow.

Comments: *Dow Chemical Company is still streamlining its assets after it acquired UCC. As the economy has slowed down companies have decreased their inventor improved productivity, and eliminated redundant assets. This move by Dow see to be a result of some or all of the above reasons. This closure will help Dow reduce*

its costs and thereby increase profitability. Similar other moves can be anticipated in the future as companies continue to streamline their assets. The wire & Cable industry as a whole has seen much lower growth rates as it follows GDP. Some of the higher growth rates seen in the mid-90s were in optical cable markets due to a boom in the telecommunication industry. After the bust in the telecommunication industry, there has been overcapacity in the optical cable market and growth has substantially decreased. All these factors have added to the lowering of growth in the wire & cable market.

Degussa signs cooperation agreement regarding high-performance polymers

Degussa AG signed a cooperation agreement in the form of a letter of intent with the Chinese company Changchun Jida High-Performance Materials Co., Ltd. ("Jida New Materials") concerning the joint development, production, and marketing of high-temperature polymers.

Cooperating with Jida New Materials will enable Degussa to strengthen its High-Performance Polymers Business Unit, which produces specialty polymers as well as high-quality high-performance polymers – some of them unique – based on polyamide 12 and polybutylene terephthalate. The high-temperature polymers developed by Jida New Materials will broaden High-Performance Polymers' range of high-temperature polymers, which mainly find use in automotive engineering, aviation, and electronics, thus making it a further important step forward in positioning itself as a broad supplier of customer-tailored solution systems in the field of polymeric materials. The Business Unit is part of the Specialty Polymers Division, which generated sales of approx. EUR1.3 billion in fiscal 2003.

Comments: *PBT is a specialty thermoplastic polyester having properties such as good dimensional stability, high heat resistance, chemical resistance, and good electricals. In general, PBT materials exhibit higher tensile, flexural, and dielectric strengths and faster, more economical molding characteristics than many thermosets. The global demand for PBT polymers is about 450 KT. The major producers of PBT include DuPont, Degussa, DSM, Bayer, and others. Nylon 12 resins are obtained from laurolactam in much the same manner in which nylon 6 is obtained from caprolactam. Laurolactam is usually derived (via cyclododecane) from butadiene.*

There is a strong demand for specialty polymers projected to grow at about 5-6% per annum for the next five years. Degussa's decision to form a joint venture agreement will help the development of cheaper polymers and enable Degussa

gain an advantage from a growing specialty market.

The Bush Administration rejects China trade sanctions

The Bush administration bluntly rebuffed critics of trade with China, turning down requests by labor and industry groups to consider imposing duties on Chinese goods over Beijing's treatment of workers and its currency policy.

Four Cabinet members, appearing at an unusual joint news conference, said the administration would not accept a petition filed last month by the AFL-CIO calling for stiff tariffs on Chinese imports to punish China for allegedly exploiting workers. Nor, they said, would they accept a petition readied by some industry associations that would threaten China with sanctions to force a rise in the value of the Chinese currency.

The petition concerning currency policy was going to be filed soon by the Fair Currency Alliance, which is led by the National Association of Manufacturers and includes the AFL-CIO. The administration's rejection "took us by surprise," said Frank Vargo, the NAM's vice president for international economic affairs.

"With steady progress being made, the most effective way at this time to achieve the goal of a flexible, market-based exchange rate in China is to maintain the persistent engagement we have established, rather than through a trade petition," said Treasury Secretary John Snow. "Economic isolationism does not work and it's a path we will not follow."

Comments: *China has emerged as one of the lowest-cost producers in the manufacturing sector. One of the major advantages China has includes cheaper labor that translates into a lowering of production costs. Other factors that could be helping China could include the pegging of Chinese currency with the dollar. The manufacturing industry of the United States in an attempt to address these advantages wanted the government to impose trade sanctions or tariffs on goods manufactured in China. The labor and industry groups were hoping that these tariffs could bring a change in the labor and currency policy as well as make the US manufacturing industry cost-competitive compared to China. The reaction and future actions of labor and industry groups after the government's decision are still unclear.*

Kuraray opens Kuraray Research and Technical Center, USA (KRTC) in Pasadena, TX

Kuraray announced the opening of an R&D center, Kuraray Research and Technical

Center in Pasadena, TX. The total investment in the new technical center was $8.5 million.

According to the company, its decision to open the R&D center in Pasadena is guided by a basic policy of producing the optimal location and marketing in the optimal location.

Kuraray produces thermoplastic elastomer SEPTON in Pasadena, Texas, and a need to conduct product development for SEPTON arose. In addition, Kuraray was faced with a rising need for a local R&D facility to both gather information on advanced US technologies and to conduct research and analysis of US markets, in support of companywide R&D. In response, Kuraray moved forward with the construction and establishment of KRTC (USA), an R&D facility capable of conducting development related to both EVAL and SEPTON, while also supporting the Company's corporate R&D.

Comments: *Kuraray's Septon product line is based on hydrogenated SB copolymers and in North America they have the second largest markets share with close to 20% of the total demand, Kraton Polymers being the largest. The other major players include Asahi and Dynasol. Hydrogenated SB copolymers (SEBS, SEPS) are higher priced and have better performance capability with higher heat resistance than unsaturated SB Copolymers (SBS, SIS). Kuraray started commercial production of its hydrogenated SB copolymer Septon in Houston in September 2002 with a manufacturing capacity of 12KT. Kuraray with its plant in Japan has a total production capacity of 31KT. Kuraray had already established its market in North America before the start of its plant in Houston. Hydrogenated SB Copolymers are used in markets such as (1) Polymer modification, (2) Film, (3), Fiber, (4) Viscosity index modification, (5) automotive application, (6) adhesives and sealants (7) wire & cable (8) adhesives and others*

In recent years there has been a lot of interest in Hydrogenated SB Copolymers on a global scale. Hydrogenated SB Copolymer markets have become highly competitive with both new entrants like TSRC and existing suppliers such as Dynasol aggressively marketing their product in North America. In these competitive times, suppliers are trying to gain market share by differentiating themselves through product development and application development. Producers of SB Copolymers are investing in R&D to develop new applications such as soft touch products and others. Kuraray with its new R&D facility in North America seems to be following this strategy of gaining market share through differentiation and product/application development.

Sinopec Shanghai Petrochemical implements AspenTech's polymer process control solution at the Spheripol polypropylene plant

Aspen Technology, Inc. announced a third Sinopec plant is implementing AspenTech's non-linear polymer production control solution, which is based on the Aspen Apollo® product. Sinopec Shanghai Petrochemical Co., Ltd (SPC) is deploying the solution at its Spheripol polypropylene plant in Jinshan, China, where it will enable the company to optimize the execution of product transitions and improve steady-state quality performance.

AspenTech's solution uses innovative software technology to address the complex behavior found in polymer processes that cannot be managed using conventional advanced process control systems. SPC is the third Sinopec polymers plant to adopt the solution to help control and optimize its operations, following implementations at the Qilu UNIPOL polyethylene plant in Qilu, eastern China, and the Yanshan Innovene polypropylene plant near Beijing. Aspen Apollo is one of several new products AspenTech launched in 2003.

Comments: *The SPC project is the latest implementation of AspenTech's polymer production control solution, which has now been adopted by 28 polymer plants worldwide. The solution has been applied to a broad range of the leading polyethylene, polypropylene, and polystyrene process technologies, and has delivered faster product transitions, reduced quantities of off-specification material, and a significant increase in production capacity. AspenTech presented a paper in FlexPO 2003 on non-linear polymer production control solutions. For more information on the proceedings, kindly contact us at 281-333-3313.*

Borden Chemical announces its intention to register for an initial public offering

Borden Chemical, Inc., announced its intention to file a registration statement with the U. S. Securities and Exchange Commission for an initial public offering of its common stock. The offering is expected to occur early in the third quarter of 2004.

All of the shares of common stock to be sold in the offering will be sold by a selling stockholder of the company, BW Holdings, LLC, an affiliate of Kohlberg Kravis Roberts & Co. Borden Chemical will not receive any of the proceeds from the shares of common stock sold by the selling stockholder.

Comments: *Borden Chemical is one of the leading producers of industrial resins, adhesives, and related chemical products. The company's products include (1) specialty resins, (2) specialty coatings, (3) formaldehyde products, and others.*

Borden Chemical is an operating company of the investment firm Kohlberg Kravis Roberts & Company (KKR). Borden Chemical is privately owned by affiliates of KKR, with the Borden Chemical management team also owning a stake in the business.

BASF to eliminate about 550 jobs

BASF Corp. announced its plans to eliminate at least 550 jobs at plants in Freeport, Texas, and Geismar, LA, as part of a global cost reduction.

Most of the cuts will come from Geismar, where BASF makes polyurethane feedstocks and a host of other chemical products. Between 400 and 500 of Geismar's current 1,400 jobs will be eliminated. In Freeport, where BASF makes nylon 6 resin and other products, between 150 and 180 out of 1,000 positions will be cut.

Combined, the moves are expected to save BASF between $30 million and $40 million annually. According to the company, the job cuts will begin at the end of 2004 and should be mostly complete in 2005.

Formosa to construct metathesis unit

Formosa Petrochemical Corp (FPCC) is to build a metathesis unit to produce 250,000 MT/year of propylene in Mailiao, Taiwan. According to the company design work on the project had started, and ABB Lummus Global was the licensor for the project.

The diluted ethylene and butene-2 feedstock would be sourced from FPCC's 450,000 bbl/day refinery and its No 3 cracker project at the same site.

The metathesis project is due on stream in end-2005. The 1.2 million MT/year cracker is scheduled to come on stream only in Q4 2006

Comments: *Traditionally, propylene has been produced as a by-product during petroleum refining or ethylene production. The growing demand for polypropylene has led to an increased demand for propylene and hence technologies to produce propylene have become popular.*

Olefins Conversion Technology (OCT) which uses metathesis to convert butene and ethylene into propylene has become increasingly popular. ABB Lummus is one of the licensors of OCT to produce propylene. ABB has licensed about 8 OCT projects since 2003.

Chemical Market Resources, Inc recently organized a conference on "Global Natural

Gas to Liquids, Feedstocks, Olefins, and Derivatives" on May 12-14, 2004. There were several papers presented on metathesis and conversion of ethylene to propylene. For more information on conference proceedings, please call CMR at 281-333-3313.

For more details on Metathesis, look for an upcoming multiclient study by Chemical Market Resources, Inc titled, "METATHESIS TECHNOLOGY – (Catalyst, Process, and Industrial Technologies. The study will be released by the end of the second quarter of 2004.

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